from Indian tax revenues. Raising loans from private sources had become both difficult and costly for the government; and the large scale borrowings had already resulted in heavy discounts of government treasury bills, a steep rise in interest rates, and an acute shortage of specie. In the spring of 1801, 12 percent treasury notes were selling at a discount of 3 to 4 percent, silver coins were scarce, and the government not only had trouble collecting revenue but was also losing in the conversion from gold to silver (much of the revenue was paid in gold) because gold coins were at a discount of 6 to 7 percent.[1] It was after Wellesley's recall, and when an attempt was being made to restore the shattered finances of the Company, that the Bank of Calcutta appeared on the scene.

Tucker put forward his scheme to the Governor General in October 1801. He envisaged a bank in Bengal with part government ownership and a strong mercantile element. 'It aimed at stabilizing rates of interest and mobilizing credit both for the Company's government in Bengal and the merchants of Calcutta. The bank, as envisaged by Tucker, besides securing many commercial advantages, was to prevent depreciation of government bills by introducing a new customer into the market, who would always be provided with a 'store' of specie.'[2] Tucker's plan did not receive immediate attention primarily because 'the government's financial condition did not allow the temporary pause necessary for setting up a new institution of that kind.'[3]

The semi-government joint-stock bank planned by Tucker became a reality when the Bank of Calcutta was set up on June 2, 1806. The government wrote to J.W. Sherer in February 1806 appointing him to the office of Secretary and Treasurer to the bank under the provisional arrangement for establishing the bank. The capital of the bank was ₹50 lakh in 500 shares of sicca ₹10,000 each. Three government Directors were to be appointed immediately and six nominated by the subscribers were to be elected after the permanent institution had been sanctioned by the East India Company in London. Tucker was one of the government Directors of the bank. Two years later when the Court of Directors granted its charter, it became the first chartered joint-stock bank in India. It was re-designated as the Bank of Bengal and opened for business on January 2, 1809. The government had originally announced its intention to establish the full-fledged Bank of Bengal by May 1, 1807 or wind up the bank by that date in